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N° 32

COLLECTION
INVESTORS

Renovating to Create Value

Flips and added value
— without losing money.



2026 EDITION

BEFORE YOU BEGIN

Important notice

This guide is provided for informational and educational purposes only. It presents general information about real estate in Quebec and does not constitute personalized real estate, legal, tax or financial advice. Every real estate situation is different, and you should consult the appropriate professionals before making a decision about a transaction.

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Renovating to Create Value · Collection Investors · Guide No. 32 · 2026 Edition

COLLECTION INVESTORS · GUIDE NO. 32

Renovating to Create Value

Flips and added value — renovate strategically, not at a loss

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Renovating can create great added value… or eat up your margin. Whether you are aiming for a flip (purchase-renovation-resale) or a capital gain on a rental property, the key is to renovate what pays off, within a controlled budget.

This guide covers choosing profitable renovations, budgeting and overruns, permits and standards, and calculating the actual margin of a flip.

Each chapter ends with a lined “My Notes” page.

Renovation can create value… or destroy it. This guide distinguishes profitable work, control of the budget and schedule, compliance (permits, standards, contractors) and the calculation of the real margin of a flip.

The key message: renovate according to the objective and the neighborhood, and do the numbers before buying.

CHAPTER

Which renovations really create value

> *Invest where the return is best.*

Not all renovations are created equal. Some return more than their cost, others do not. In general, kitchen, bathrooms, painting, flooring and improving the first impression provide a good return; very personalized or luxury projects in a modest sector, much less.

- High performance: refreshment (painting, floors), reasonable kitchen and bathroom, curb appeal.
- Uncertain return: swimming pool, luxurious off-market finishes, very personal fittings.
- Always calibrate according to the sector and the target buyer.

Not all renovations are equal: kitchen, bathroom, finished basement and energy efficiency often offer the best return; certain expenses (swimming pool, very personalized finishes) are difficult to recover. Target what appeals to the market, not just you.

> EMILIE'S ADVICE
>
> *Renovate for the market, not for your tastes. In a given sector, there is a price ceiling: exceeding the neighborhood standard is rarely recoverable on resale.*

CHAPTER

Budget, schedule and overruns

> *Controlling costs, the number one enemy of flipping.*

A flip is won or lost on the budget. Establish a detailed budget, add a contingency (often 10-20%) for unforeseen events, and monitor your expenses closely. Time is also money: each month of delay, interest and fees eat into the margin.

- Detailed quotes from reliable contractors.
- Contingency for surprises (especially when renovating old buildings).
- Realistic deadline: delays are costly.

A flip is won or lost on the budget: establish a detailed budget, add a margin for unforeseen circumstances (often 10-20%), and stick to the schedule - each month of delay costs in interest and carrying costs. Cost overruns are the renovator's number one enemy.

> EMILIE'S ADVICE
>
> *Always plan for contingency and a prudent timetable. Projects that fail are almost always those whose budget and schedule were too optimistic to begin with.*

CHAPTER

Permits, standards and contractors

> *Renovate according to the rules so as not to pay for it later.*

- Check the required permits with the municipality before the work.
- Use qualified and licensed contractors (RBQ) for the work that requires it.
- Respect standards: work without a permit can pose problems for resale and insurance.
- Keep invoices and guarantees.

Renovations “with permits and by professionals” sell better and avoid unpleasant surprises on the buyer and insurer side.

Renovate according to the rules: check the required permits, respect the standards, and choose licensed and insured contractors. Work without a permit can block a resale or be expensive to regularize. Compliance protects your value as much as your security.

> EMILIE'S ADVICE
>
> *Never skip licenses to go faster. A non-compliant renovation discovered on resale can cost much more than the time “saved”.*

CHAPTER

Calculate the actual margin of a flip

> *Ensure that the project is profitable BEFORE purchasing.*

The margin of a flip = estimated resale price − (purchase price + renovations + holding costs + buying and selling costs + tax). Many beginners forget about holding costs (interest, taxes, insurance during construction) and transaction fees.

Keep a margin of safety: the market can move, costs can slip. A flip that is only profitable in the perfect scenario is too risky.

The margin of a flip is calculated BEFORE buying: estimated resale price − purchase price − work − costs (portage, notary, taxes, commission) − safety margin. If the calculation is tight at the start, the slightest unforeseen event wipes out the profit. Buy on numbers, not hope.

> EMILIE'S ADVICE
>
> *Calculate your margin with the most CAREFUL resale price, not the most optimistic. If the project does not hold in this scenario, it does not hold. Discipline on the numbers is what protects your capital.*

CHAPTER

Renovate for yourself or for the market?

> *Adapt the work to the objective.*

We do not renovate in the same way for **live for a long time** or for **resell** :

- **For yourself** : prioritize your comfort and your tastes, over a long term.
- **To resell** : aim for neutral and popular choices, control costs, not over-improve in relation to the neighborhood.

Over-renovating a property beyond the value of the sector means investing money that will not be recovered on resale.

We do not renovate in the same way to live for a long time or to resell: for yourself, prioritize your comfort; for the market, aim for neutral and popular choices, without over-improving in relation to the neighborhood. Becoming the most expensive house on the street means investing money that you will not get back.

> EMILIE'S ADVICE
>
> *Don't become the most expensive house on the street. Beyond a certain point, the neighborhood caps your value: your lavish renovations will never sell for their cost. Renovate in line with the sector.*

IN PRACTICE

Action plan

> *Your next steps, concretely.*

This week

1. Identify renovations with better returns for the sector.
2. Obtain detailed quotes from reliable contractors.

Within 30 days

1. Build a budget with contingency and a realistic timeline.
2. Calculate the real margin with a conservative resale price.

Then

1. Only buy if the figures hold, license included.

Before renovating

1. Calculate the real margin BEFORE purchasing (resale − purchase − work − costs − margin).
2. Check permits and standards, and choose licensed and insured contractors.

REFERENCES

Resources & glossary

- Flip: purchase, renovation then resale at a profit.
- Curb appeal: first exterior impression, high yield.
- Contingency: budgetary reserve (often 10-20%) for unforeseen events.
- Holding costs: interest, taxes, insurance during the work.
- RBQ: contractor license for work that requires it.

- Flip: purchase-renovation-resale at a profit over a short time horizon.
- Carrying costs: costs (interest, taxes) during detention/renovation.
- Cost overrun: increase in budget, enemy number 1 of flipping.
- Over-improvement: renovation beyond the value of the sector, poorly recovered.
- Permit: municipal authorization required for certain work.

GO FURTHER

Quiz - test yourself

1. The most efficient renovations are often:

A) Swimming pool and off-market luxury

B) Reasonable kitchen/bathroom, paint, floors, curb appeal

C) Very personal arrangements

D) None

2. Exceeding the neighborhood standard is:

A) Always profitable

B) Rarely recoverable on resale

C) Mandatory

D) Risk-free

3. A flip is mainly won on:

A) Luck

B) The budget and schedule

C) Color

D) Chance

4. A typical contingency is:

A) 0%

B) 10-20%

C) 100%

D) 1%

5. Before the work, you must check:

A) Nothing

B) Permits required from the municipality

C) The weather

D) The neighbor

6. The margin of a flip must include:

A) The purchase price alone

B) Purchase + renovations + holding costs + transaction + tax

C) Rents

D) Nothing

7. We calculate the margin with a resale price:

A) Optimistic

B) Cautious

C) Invented

D) Void

8. A profitable flip only in the perfect scenario is:

A) Ideal

B) Too risky

C) Guaranteed

D) Free of charge

Answers

1. B - We renovate for the market (chap. 1).

2. B - There is a sector ceiling (chap. 1).

3. B - Costs are enemy number one (chap. 2).

4. B - To absorb unforeseen events (chap. 2).

5. B - Non-compliant work = problems with resale (chap. 3).

6. B - Many people forget about detention costs (chap. 4).

7. B - Discipline protects capital (chap. 4).

8. B - A safety margin is needed (chap. 4).

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You now have the right keys in hand.

Every real estate journey is different.

If you would like to go further,
I would be happy to discuss
your project with you.



Make informed decisions.
Choose with confidence.
Live without regrets.
See you soon,
Emilie ☺

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